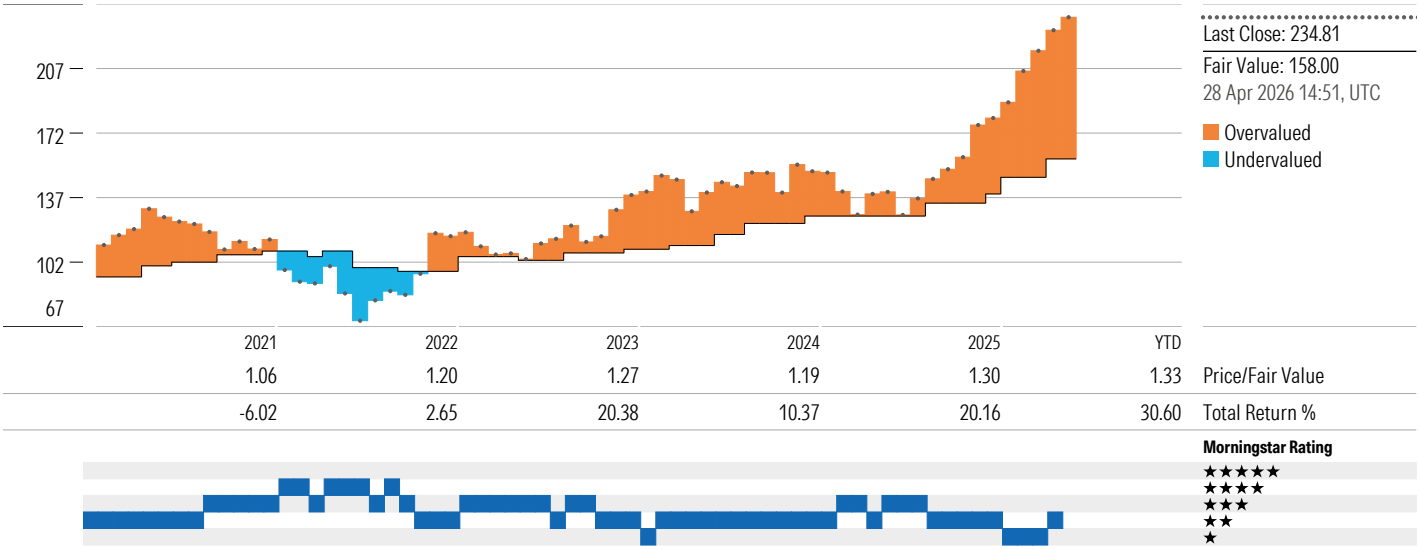
Ross Stores Inc ROST ★★ 22 May 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
234.81 USD 22 May 2026	176.00 USD 22 May 2026 07:22, UTC	1.33	75.64 USD Bil 22 May 2026	Wide	Mid Blend	Medium	Standard	22 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
Price/Fair Value	1.06	1.20	1.27	1.19	1.30	1.33	
Total Return %	-6.02	2.65	20.38	10.37	20.16	30.60	

Total Return % as of 22 May 2026. Last Close as of 22 May 2026. Fair Value as of 28 Apr 2026 14:51, UTC.

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Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Ross Stores Earnings: Robust Traffic and Sourcing Execution Drive Margin Gains; Shares Overvalued

Analyst Note Brett Husslein, Analyst, 22 May 2026

Ross' first-quarter results included 21% sales growth and adjusted EPS of $2.02, up 38%. Operating margin expanded by 120 basis points to 13.4%, driven by merchandise margin gains, occupancy leverage, and lower distribution costs, but partly offset by higher compensation expense.

Why it matters: The results support our view that Ross' off-price model thrives when consumers are stretched and brands need a high-throughput channel to clear inventory. While tax refunds aided results, demand was transaction-led, which we believe suggests deepening customer engagement.

- Customer count rose by a double-digit rate on a comparable-store basis, with strength across income levels, age groups, categories, and regions. We view this as evidence that marketing, stronger assortments, and improved in-store execution are widening Ross' appeal.
- Merchandise availability remains abundant, allowing Ross' buyers to aggressively chase demand. We believe better buying execution drove an 85-basis-point gross margin expansion, underscoring the firm's procurement scale advantage over smaller off-price peers.

The bottom line: We are raising our fair value estimate for wide-moat Ross Stores to $176 from $158, reflecting a lower cost of capital under our updated discount-rate framework and stronger-than-expected first-quarter sales. We view shares as more than 30% overvalued after rising 6% after hours.

- Under our updated discount-rate framework, we lowered our weighted average cost of capital

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Sector Consumer Cyclical

Industry Apparel Retail

Business Description

Ross Stores, founded in 1982, is a US-focused off-price apparel and home fashion retailer operating more than 2,100 stores across 43 states, primarily under the Ross Dress for Less banner, with a smaller footprint through dd's Discounts. In fiscal 2025, the company generated over $22 billion in sales. Ross offers branded apparel, footwear, accessories, and home goods at a 20%-60% discount to department and specialty store prices, sourcing closeouts and excess inventory from vendors worldwide.

estimate to 7.8% from 8.2%. The change does not reflect a new view of Ross' business, but rather a more refined expression of our existing risk assessment.

- Ross' shares are up 19% year to date, outpacing the Morningstar US Consumer Defensive Index's 11%. Despite this, the market is extrapolating outsize profitability into the future, implying long-term margins rise toward a mid- to high-teens rate, which we view as unlikely amid competition.

Business Strategy & Outlook Brett Husslein, Analyst, 22 May 2026

Ross Stores' strategy is rooted in disciplined execution of a domestic off-price apparel and home fashion model that prioritizes value leadership, cost efficiency, and inventory management over assortment breadth or omnichannel reach. We believe the firm is well positioned to defend and modestly expand its standing within the US apparel retail realm despite heightened competition. Ross captures roughly 30% of the domestic off-price apparel market, supported by a store footprint of more than 2,100 locations concentrated in dense urban and suburban markets. This scale affords purchasing leverage with vendors and enables consistent access to branded closeouts and excess inventory that many smaller competitors cannot replicate.

The model is built around frequent inventory refreshes and a treasure-hunt experience, driving repeat traffic without reliance on promotions or markdown cycles. Apparel and footwear anchor sales and margins, while minimal in-store services and a small-box format keep labor and occupancy costs structurally low. Unlike many peers, Ross has intentionally avoided e-commerce, believing online fulfillment would dilute margins, buying flexibility, and weaken the in-store experience. We view this restraint as rational, given structurally lower e-commerce profit margins in apparel, though it limits participation in digital-led share gains.

In the near term, we expect growth to remain steady, driven by comparable sales gains and unit expansion. Management continues to target long-term development toward roughly 3,600 US stores, extending its reach into more value-oriented and diverse markets. While competition from TJX and other mass merchants remains intense, Ross' executional focus and cost discipline have supported consistent profitability across economic cycles.

Over the next decade, we believe Ross' scale in off-price sourcing, operational simplicity, and continued store expansion should support incremental share gains (6.6% compound annual growth rate compared with 3% for US retail), as its procurement model and value proposition remain difficult for full-price and online competitors to replicate profitably at scale.

Bulls Say Brett Husslein, Analyst, 22 May 2026

- A permanent shift in consumption habits could see higher-income households trade down, favoring off-price channels. This could drive average comparable sales growth above our 3.6% estimate.
- Accelerated department store consolidation could clear a wider path for Ross to surpass its 3,600 store

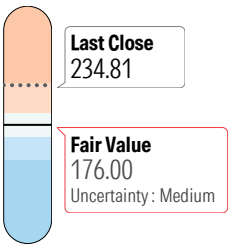
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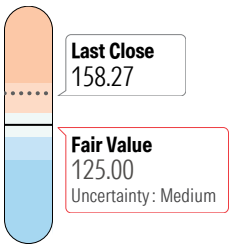
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Competitors

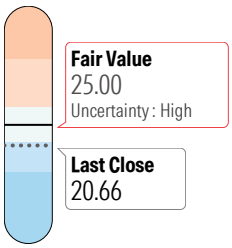
Ross Stores Inc ROST



TJX Companies Inc TJX



Macy's Inc M



	Ross Stores Inc ROST	TJX Companies Inc TJX	Macy's Inc M
Economic Moat	Wide	Wide	None
Currency	USD	USD	USD
Fair Value	176.00 22 May 2026 16:44, UTC	125.00 22 May 2026 16:47, UTC	25.00 22 May 2026 16:44, UTC
1-Star Price	237.60	168.75	38.75
5-Star Price	123.20	87.50	15.00
Assessment	Overvalued 22 May 2026	Overvalued 22 May 2026	Undervalued 22 May 2026
Morningstar Rating	★★22 May 2026 05:00, UTC	★★22 May 2026 05:00, UTC	★★★★22 May 2026 05:00, UTC
Analyst	Brett Husslein, Analyst	Brett Husslein, Analyst	David Swartz, Senior Equity Analyst
Capital Allocation	Standard	Standard	Standard
Price/Fair Value	1.33	1.27	0.83
Price/Sales	3.19	2.89	0.25
Price/Book	12.00	16.82	1.12
Price/Earning	32.79	30.79	8.91
Dividend Yield	0.71%	1.11%	3.58%
Market Cap	75.64 Bil	175.02 Bil	5.45 Bil
52-Week Range	124.49—235.80	119.84—165.82	10.54—24.41
Investment Style	Mid Blend	Large Blend	Small Value

target, fueling market share gains that exceed expectations.

- The dd's Discounts banner targets a younger, more value-constrained consumer than the core Ross chain, creating an incremental growth wedge that could expand the firm's total addressable market beyond current assumptions.

Bears Say Brett Husslein, Analyst, 22 May 2026

- Dependence on vendors sourcing from China (about 50% of merchandise) creates a structural vulnerability to tariffs, posing a long-term threat to the low-cost procurement model essential for off-price leadership.
- Increasing competition for off-price inventory from peers and the proliferation of direct-to-consumer channels by brand owners could limit the availability of high-quality, name-brand pack-away goods.
- Heavy store concentration in California and Texas (nearly 40% of locations) creates excessive exposure to regional economic shocks and regulatory shifts.

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Economic Moat Brett Husslein, Analyst, 22 May 2026

We assign Ross Stores a wide economic moat, underpinned by a durable cost advantage and supported by intangible assets tied to its off-price sourcing ecosystem, vendor relationships, and value-oriented brand positioning. In our view, Ross' structural advantages enable the firm to consistently generate excess economic returns well above our estimate of its weighted average cost of capital (7.8%), with a 10-year average return on invested capital of 40%, and we believe these excess returns will continue for at least the next two decades.

Ross' moat is best understood as a price-led cost advantage. Unlike traditional department stores that compete on assortment depth and promotional cadence, or off-price peers that emphasize brand discovery and fashion appeal, Ross is optimized to deliver the lowest possible opening price on branded goods to a broad base of primarily lower- and middle-income consumers (roughly $40,000 to $70,000 average annual income). This distinction is crucial, as Ross does not attempt to maximize brand prestige or trend relevance; instead, it maximizes value per dollar spent, which allows it to offer lower price points and have higher inventory turns than most retailers. For example, Ross' inventory turnover days are the lowest among its competitors at 58 days compared with TJX (64), Macy's (119), Kohl's (109), and Burlington (74).

The foundation of this cost advantage lies in Ross' low-risk inventory model. By purchasing merchandise opportunistically, Ross avoids the structural markdown exposure embedded in full-price retail. Department stores such as Macy's, Kohl's, and JCPenney commit to seasonal assortments months in advance and rely on promotions to clear misjudged inventory, compressing margins and increasing earnings volatility. Ross, by contrast, lets suppliers and full-price retailers absorb forecasting risk and then acquires merchandise at a lower cost basis. This allows Ross to open with compelling prices rather than discount from inflated starting points. Ross' cost advantage is magnified by scale-driven operating efficiency, not by fashion curation. The company runs a stripped-down, self-service store format with limited staffing, minimal fixtures, and little reliance on advertising. Off-mall locations and simple layouts keep occupancy and labor costs low, while centralized merchandising and distribution allow fixed costs to be spread across a large and growing revenue base. Because Ross' model does not require uniform assortments or full-size runs in every store, it can flex inventory flow based on availability rather than forcing costly in-season rebuys or promotions. In our view, this operational flexibility is a structural advantage that lowers breakeven sales productivity and supports profitability even at lower average ticket prices (20% to 60% lower than department store pricing). Taken together, Ross' low-risk inventory model and no-frills store format support strong store-level economics, with operating profit per square foot of roughly $61, close to TJX ($68) and far exceeding Burlington ($24), Macy's ($9), and Kohl's ($8).

Importantly, Ross' lower price positioning differentiates it not only from department stores but also

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from other off-price retailers. Relative to TJX, Ross generally competes at a more accessible price tier, with less reliance on premium or fashion-forward labels and greater emphasis on everyday branded value. This positioning resonates with Ross' core lower- to middle-income customer, expanding its addressable market by reducing the income threshold required to shop branded apparel on a recurring basis, rather than limiting demand to a higher-income cohort or promotion-driven shoppers. Higher throughput per store improves purchasing leverage, accelerates inventory turns, and reinforces fixed-cost absorption, strengthening the cost advantage over time. In this sense, Ross' moat behaves more like a volume-driven discount retailer than a fashion-driven off-price curator.

Supporting this cost advantage are intangible assets that enhance durability. Ross has built a brand that stands for dependable value rather than aspirational shopping. Customers are not drawn by loyalty programs or exclusivity, but by the expectation that each visit offers a high probability of finding branded goods at meaningfully lower prices compared with traditional retail channels. This expectation drives repeat visits and habitual shopping behavior, evidenced by the firm's outsize sales productivity—Ross generates approximately $504 in sales per square foot, materially exceeding Macy's ($231), Burlington Stores ($341), and Kohl's ($192). We believe this metric underscores the strength of Ross' value proposition, proving that its brand resonance drives industry-leading demand without reliance on traditional promotional levers. While the treasure-hunt element exists, we view it as secondary to price credibility; the primary draw is confidence in value.

Ross also benefits from long-standing vendor relationships, and we view these as an outcome of its scale and reliability, helping reinforce its cost advantage. For suppliers, Ross is a dependable, high-throughput outlet capable of discreetly clearing excess inventory without resorting to highly visible clearance activity. Over time, this reliability strengthens access to merchandise and improves economics at the margin, but critically, Ross' model does not depend on securing the most fashionable or scarce product to succeed. Its economics are driven by price discipline and cost control, not by brand exclusivity. This is reflected in Ross' sourcing relationships with more than 7,000 vendors. While this is fewer than TJX's roughly 21,000 vendors, we view the difference as less meaningful given Ross' primarily domestic footprint and materially more significant when compared with smaller off-price peers such as Burlington, which we estimate to work with just over 1,000 vendors.

In the competitive landscape, Ross occupies a defensible position. Department stores and midtier apparel retailers struggle to match Ross' price points without sacrificing profitability due to higher labor, occupancy, and promotional costs. Smaller off-price peers lack the scale, purchasing volumes, and cost absorption needed to compete effectively on price while maintaining margins. This can be seen in Burlington's mid-single-digit operating margins compared with the low-double-digit margins that Ross and TJX generate. TJX and Ross' competitive advantage relative to peers can also be evidenced through the capture of nearly 80% of domestic off-price apparel sales (49% and 30%, respectively, as of 2023), outpacing Burlington (14%) and Nordstrom Rack (7%). We believe this underscores the difficulty

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in replicating the off-price model at scale. Additionally, even as e-commerce continues to pressure discretionary retail, we believe Ross' model, focused on opportunistic buying and in-store value discovery, remains less exposed to digital disruption than full-price apparel, where online transparency accelerates price competition and margin erosion.

Cumulatively, we believe Ross' price-led cost advantage, reinforced by a lean operating structure and trusted value brand, supports a wide economic moat. The company's continued ability to generate returns in excess of its cost of capital reflects structural efficiencies that are difficult to replicate and well suited to an apparel retail environment characterized by demand volatility and persistent pricing pressure. We have conviction that Ross can continue to earn excess economic returns for at least the next 20 years, placing it among a small subset of retailers with truly durable competitive advantages.

Fair Value and Profit Drivers Brett Husslein, Analyst, 22 May 2026

We have raised our fair value estimate for Ross Stores to $176 per share from $158, primarily reflecting a lower cost of capital under our updated discount-rate framework as well as stronger-than-expected first-quarter results. Under this updated framework, we lowered our weighted average cost of capital estimate to 7.8% from 8.2%. This change does not reflect a new view of Ross' business, but rather a more refined expression of our existing risk assessment. Additionally, our updated valuation reflects more optimistic comparable sales growth, now calling for a 30-basis-point increase to 3.6% compounded annually over the next decade. Our revised valuation implies a fiscal 2027 EV/adjusted EBITDA multiple of 14 times.

The core driver of Ross' valuation remains its domestic off-price apparel model. We forecast revenue growth of 6.6%, supported by traffic gains as trade-down behavior persists across income cohorts and by rapid inventory turnover that allows for frequent assortment refreshes. Unit growth is an increasingly important contributor—we model roughly 80 net new stores annually, contributing 3% to annual sales growth. Management's reaffirmed long-term target of roughly 3,600 US stores underpins this outlook, bringing the store base to just over 3,000 locations by the end of the decade.

Profitability expansion is another key lever. We forecast operating margins rising to 13.5% by fiscal 2035, up from 11.9% in fiscal 2025, driven by both gross margin expansion and operating leverage. We model 50 basis points of gross margin improvement (from 27.7%) as buying scale, pack-away utilization, and supply chain investments improve mix and reduce markdown risk. At the same time, we expect selling, general, and administrative expenditures as a percentage of sales to decline by roughly 110 basis points (from 15.8%), reflecting labor productivity, distribution efficiencies, and fixed-cost leverage as the store base expands. Even after these gains, our modeled SG&A remains roughly in line with Ross' adjusted 10-year average of 15.1%, reflecting a structural step-up in cost basis from rising store-level wages and ongoing investments in loss prevention to combat shrink.

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Risk and Uncertainty Brett Husslein, Analyst, 22 May 2026

We assign Ross Stores a Medium Morningstar Uncertainty Rating, reflecting confidence in the durability of its off-price cash flows while acknowledging risks tied to sourcing cycles, cost pressures, and competitive dynamics.

The most material risk stems from the availability of branded closeouts and excess inventory. Ross' sourcing advantage depends on inefficiencies in the full-price apparel channel; periods of cleaner inventory, better demand forecasting, or reduced promotional activity among department and specialty retailers could limit deal flow, pressuring assortment freshness and, in turn, the ability to drive traffic.

The firm's procurement model and sourcing concentration pose an additional risk. About 50% of Ross' merchandise originates from China. This creates a structural vulnerability to trade policy shifts and tariffs, which could increase procurement costs and pressure gross margins if the firm cannot pass these costs onto its price-sensitive customer base. Furthermore, the proliferation of direct-to-consumer channels by brand owners could limit the availability of merchandise, challenging Ross' ability to maintain a compelling assortment.

Cost inflation presents another source of uncertainty, as rising wages, occupancy costs, and shrink could outpace productivity gains, particularly as the store base expands into new markets.

From an environmental, social, and governance perspective, Ross faces risks related to labor practices, supply chain oversight, and merchandise sourcing. The firm relies on a global vendor base, exposing it to potential compliance failures around labor standards or practices that could result in reputational damage as well as fines from regulatory scrutiny. Additionally, wage policy changes and workforce availability remain ongoing considerations given Ross' large store-level employee base (over 100,000).

Capital Allocation Brett Husslein, Analyst, 22 May 2026

We assign Ross Stores a Standard Capital Allocation Rating, reflecting a conservative balance sheet, a long track record of value-accretive reinvestments, and shareholder distributions that are generally disciplined, though not always opportunistic. Management has historically prioritized operational flexibility and organic growth over financial leverage or large-scale acquisitions, a philosophy that we believe has supported durable returns on invested capital.

Ross maintains a highly conservative capital structure. At the end of fiscal 2025, the firm carried approximately $1.5 billion of debt against $4.6 billion of cash, leaving it in a net cash position with ample access to capital. Leverage remains modest, with debt/EBITDA of 0.5 times as of the end of 2025, in line with its adjusted 10-year average of 0.5 times. We expect leverage to remain broadly stable over the next three years, approaching 0.4 times, near historical levels through the midpoint of our forecast. The bulk of outstanding debt matures after fiscal 2027, and given that interest income has exceeded interest expense in recent years, debt service is effectively immaterial. We see no meaningful risk of

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value destruction stemming from financial leverage.

Reinvestment in the core business remains Ross' primary use of capital and, in our view, its highest-return option. Capital expenditures have been elevated recently, averaging roughly 3.4% of sales over the last three years as the company has invested in supply chain capacity, new store openings, and productivity initiatives. We expect this level of investment to increase in the near term to roughly 4.3% of sales on average over the next three years before normalizing toward the firm's 10-year average of approximately 2.8% of sales by the midpoint of our forecast as an increased level of new store openings and major distribution center projects are completed. Over the next decade, we expect capital spending to remain focused on expanding the Ross Dress for Less and dd's Discounts banners, funding remodels, and selectively enhancing logistics capabilities. Given Ross' 10-year average ROIC of roughly 40%, well above our estimated 7.8% cost of capital, we view these reinvestments as value-accretive.

Ross has shown little appetite for mergers and acquisitions, preferring organic expansion over external growth. The absence of notable M&A activity over the past decade reduces execution risk and reflects management's recognition that the firm's competitive advantages are best reinforced through disciplined store growth and sourcing scale rather than acquisitions, which have often destroyed value elsewhere in retail.

Shareholder distributions are a consistent, though secondary, use of capital. Ross has increased its regular dividend at an 16% compounded annual rate since fiscal 2010, growing the payout from roughly $0.18 per share to about $1.62 today. We expect dividend growth to approximate 10% annually but remain supported by free cash flow generation. Share repurchases have averaged approximately $870 million annually over the past decade. We view buybacks as value-accretive when executed below intrinsic value, though less compelling when shares trade at a premium to our fair value estimate, and Ross has generally navigated this balance appropriately. Going forward, we expect management to continue balancing dividends and buybacks after funding reinvestment needs, with repurchase activity remaining opportunistic.

Overall, we view Ross' capital allocation as prudent and repeatable. The balance sheet is conservatively positioned, reinvestment is tightly aligned with defending and extending the firm's competitive advantages, and shareholder returns are maintainable without impairing flexibility. We believe that the firm has demonstrated a disciplined approach, supporting consistently high returns on capital, reinforcing our confidence in long-term value creation.

Analyst Notes Archive

Ross Stores Earnings: Broad-Based Category Strength Drives Holiday Outperformance, Shares Pricey Brett Husslein,Analyst,4 Mar 2026

Ross' fourth-quarter results included 9% comp sales growth and adjusted EPS of $2.00, up 12%. Gross

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Ross Stores Inc ROST ★★ 22 May 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
234.81 USD 22 May 2026	176.00 USD 22 May 2026 07:22, UTC	1.33	75.64 USD Bil 22 May 2026	Wide	Mid Blend	Medium	Standard	22 May 2026 05:00, UTC

margin expanded 70 basis points to 27.2%, reflecting improved merchandise margins driven by better buying and disciplined inventory management, partly offset by elevated distribution costs.Why it matters: Ross continues to prove its off-price model can continue to capture market share from mainstream department stores. We see this evident as the firm's sales grew across all regions and income levels, with apparel and home underscoring the enduring appeal of its value proposition. New social media campaigns and in-store initiatives, like self-checkout pilots, are driving robust customer engagement. We are encouraged that Ross achieved this without increasing marketing as a percentage of sales, highlighting highly efficient execution to boost traffic growth. Shares rose 6% on the results as Ross' performance exceeded the broader market's expectations, including our forecast adjusted EPS estimate of $1.92. The bottom line: We plan to lift our $148 fair value estimate for wide-moat Ross Stores by a mid-single-digit percentage, reflecting the time value of money and a slightly stronger sales outlook driven by accelerated near-term unit growth. Despite the improved outlook, we view shares as more than 35% overvalued, with the current price implying operating margins that rise to a high-teens rate (up from 12% currently) paired with mid-single-digit revenue growth, a level that we view as unrealistic, given the competitive retail landscape. Key stats: In fiscal 2025, the firm spent about $1.1 billion on share repurchases and $528 million on dividends, efforts which we believe should persist, given our average annual free cash flow forecast of about $2.4 billion over the next five years. Ross recently approved a two-year $2.55 billion share repurchase program, and we would prefer shares be bought at a discount while maintaining our Standard Capital Allocation Rating.

Ross Stores: Trade-Down Tailwinds Bolster Competitive Standing, Yet Shares Look Expensive Brett Husslein,Analyst,26 Jan 2026

Ross remains a dominant force in off-price retail, pairing industry-leading inventory turns with a lean, store-only model that caters to lower- and middle-income shoppers. The firm continues to target a footprint of 3,600 locations long term, as it works to build out physical store density.The bottom line: We've raised our fair value estimate for wide-moat Ross Stores to $148 per share from $139, primarily on the time value of money and a modestly stronger sales outlook. We maintain our Medium Uncertainty and Standard Capital Allocation Ratings. We now model 6.1% annual sales growth (from 4.9%), underpinned by 3% comparable sales growth and roughly 70 net new stores per year (from 60). This change reflects reaffirmed confidence in management's growth strategy, capitalizing on persistent demand for off-price retail. We view the stock as overvalued, as the market seems to expect outsize operating margin expansion above our 13.5% fiscal 2034 forecast, which we view as unlikely given the permanent step-up in store-level wages and reinvestments needed to defend its value proposition.Long view: Despite rising digital penetration, we see Ross as one of the best-positioned brick-and-mortar retailers to benefit from a more value-conscious apparel consumer, with a price-led model and rapid inventory turns that smaller chains and online rivals struggle to match at scale. When coupled with Ross' consistent 20% to 60% discount versus full-price retailers, we think this will allow it to gain share

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over the next decade (far exceeding the 3% expected for US retail) as it leverages its network of over 7,000 vendors to capture demand from retreating department stores. We expect capital expenditures to average 3% of sales the next 10 years as Ross moves toward its 3,600-store goal, capitalizing on underpenetrated markets. We forecast it will also reinvest in the business and buoy shareholder distributions with $2.7 billion in annual free cash flow.

Ross Stores Earnings: Value Proposition Resonates with Stretched Consumers, but Shares Still Rich
Jaime M. Katz, CFA,Senior Equity Analyst,21 Nov 2025

Ross' third-quarter revenue grew 10%, with 7% comparable sales growth. The operating margin decreased by 30 basis points to 11.6%, hurt by a $0.05-per-share tariff impact. The full-year outlook was updated to include 3%-4% same-store sales growth and EPS of $6.38-$6.46 (from $6.08-$6.21). Why it matters: While other discretionary retailers have come under pressure, Ross is still winning with consumers due to its broad assortment of value-oriented offerings, as evidenced by traffic, units per transaction, and average unit revenue all increasing (unquantified). Demand momentum continues into the firm's fourth quarter, which is now set for 3%-4% same-store sales growth and $1.77-$1.85 in EPS, up from 2%-3% and $1.74-$1.81, respectively. Even more impressive is the expectation for no tariff impact in the period ahead. Ongoing mitigation efforts, including cost concessions, tactical price increases, and higher closeout purchases, have helped defend the enterprise's profitability. We don't expect Ross to ease on these efforts, which should minimize the impact of tariffs and protect margins in 2026. The bottom line: We plan to raise our $134 fair value estimate for wide-moat Ross Stores by a mid-single-digit rate but view shares as overvalued. One-third of the upside stems from time value, while the rest has arisen from stronger 2025 and 2026 comps, which should both be 3% or higher. We think investors are extrapolating the current demand strength beyond the near term. Our long-term outlook for 3% comps and 13% average operating margins indicates that sales of off-price goods will normalize and that modest average annual margin expansion of 20 bps will occur. Key stats: Year to date, the firm has spent $787 million on shares and $397 million on dividends, efforts which should persist given our average annual FCFF forecast of $2.1 billion over the next five years. We'd prefer shares be bought at a discount while maintaining our Standard Capital Allocation Rating.

Ross Stores Earnings: Shares Modestly Overvalued, but Wares Still Cater Well to Cautious Consumers Jaime M. Katz, CFA,Senior Equity Analyst,22 Aug 2025

Ross posted 2% comp growth in its second quarter, backing a 5% sales rise. Operating margin and earnings per share of 11.5% and $1.56, respectively, beat the guidance midpoint. Ross reinstated guidance, including 2%-3% comp growth in the back half, resulting in full-year EPS of $6.08-$6.21. Why it matters: Amid economic uncertainty, Ross is well-positioned to benefit from its value-driven offerings, with meticulous inventory management helping to offset tariff pressures. Notably, both Ross and DD's experienced growth in traffic and average basket size in the second quarter. Ross'

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procurement prowess and broad network of locations should allow it to continue to grow faster (at around 5%) than our forecast for the off-price apparel and accessories market, which we expect to rise at 4% on average over the next decade. Tariff pressures have led to only modest price increases for Ross, surfacing in average unit retail that has lifted at a low-single-digit rate. The firm remains cautious about raising prices, instead leveraging strong inventory availability and closeout purchases to protect the profit margin. The bottom line: We don't plan any material change to our $127 per share fair value estimate for wide-moat Ross. We view shares as overvalued, at 24 times our 2025 EPS estimate, which seems unjustified given the 9% EPS growth we forecast over the next five years. We think investors should wait for a better entry point; the current market price implies midteen average operating margins. Given the firm's opportunity set and its mature operating profile, we surmise Ross can realistically capture a more tepid 13% average operating margin. Given the steady cash flow of the business, we surmise Ross can replicate the $1 billion (or more) in share repurchases it is set to facilitate annually over our forecast period. Even still, Ross has the capacity to maintain its 25% dividend payout, which would average 10% growth annually.

Ross Stores Earnings: Management Withdraws Full-Year Guidance Amid Uncertainty; Shares Fairly Valued Noah Rohr,Equity Analyst,23 May 2025

Ross posted 2.6% revenue growth in the first quarter, driven by an increased store count. The operating margin of 12.2% was consistent with the prior year, and adjusted earnings per share of $1.47 increased by $0.01. Management withdrew its full-year guidance due to economic and tariff uncertainty. Why it matters: Results exceeded our expectations as management warned for a soft first quarter. However, we were surprised by management's ominous stance when discussing the remainder of 2025 as we expect Ross to comfortably withstand, and perhaps even benefit, from economic uncertainty. Management withdrew its full-year guidance but expects to see EPS decline by 2%-12% in the second quarter, largely due to tariffs' impact on margins. The firm may look to drive stronger traffic growth by holding down prices and widening price gaps with the full price channel. Ross' first-quarter performance and outlook for the remainder of the year contrasted with TJX. Indeed, TJX posted comparable sales growth of 3% in the first quarter and downplayed tariff headwinds as it expects to adjust prices while maintaining its steep discounts to full price. The bottom line: We don't plan to alter our $127 fair value estimate on wide-moat Ross Stores as a slight reduction to our 2025 earnings estimate should largely offset the time value of money. Investors pushed the stock down by 11% in after-hours trading on May 22, leaving shares fairly valued. We plan to lower our full-year 2025 operating margin forecast to around 11.3%-11.4% (from 11.8%). The ultimate impact that tariffs have on Ross' financial results remains to be seen, but management cited 90-120 basis points of potential margin headwind in the second quarter. We continue to model mid-single-digit top-line growth and a 13.5% operating margin longer term. Ross still enjoys a procurement advantage, in our view, and we think its discounted product offering (usually 20%-60% below full price) gives it runway for gross margin expansion.

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Ross Earnings: Management Offers Tepid Near-Term Outlook Despite Strong Close to 2024 Noah Rohr,Equity Analyst,5 Mar 2025

We don't plan to alter our $127 per share fair value estimate on wide-moat Ross materially after the firm delivered strong fourth-quarter results but issued cautious guidance for fiscal 2025. While we expect to temper our near-term sales and profit forecasts (offsetting the fair value benefit associated with the time value of money), our long-term outlook is intact.Shoppers continued to peruse Ross' namesake banner in search of cheap branded merchandise as the firm posted comparable sales growth of 3%, slightly outpacing our 2% forecast and the 2% average annual growth in retail sales at clothing and accessory stores from November 2024 through January 2025 (per the US Census Bureau). Regarding profitability, adjusted operating margin declined 100 basis points to 11.4%, though the bulk of the margin decline (about 80 basis points) was due to lapping an extra week in last year's fourth quarter.While it's common for Ross and its off-price competitor, wide-moat TJX, to issue conservative guidance, management's outlook for fiscal 2025 looks more downbeat than usual. Indeed, the firm expects comparable sales to land between a 1% decline and a 2% gain, trailing our forecast for 3% growth and TJX's recent guidance for 2%-3% growth. Management cited deteriorating traffic trends in February and economic uncertainty as primary culprits behind the tepid sales guidance. Additionally, management's outlook for fiscal 2025 EPS of $5.95-$6.55 trails our $7.00 preresults estimate, as our expectation for improving gross margin and fixed cost leverage looks unlikely to materialize. We plan to adjust our near-term forecast to more closely align with guidance.Longer-term, we think Ross' scale and differentiated procurement model cement its position in the off-price retailing industry, with its 30% market share trailing only TJX's 50%. As such, we do not plan to change our long-term forecast, which calls for mid-single-digit sales growth and an operating margin of around 13.5%.

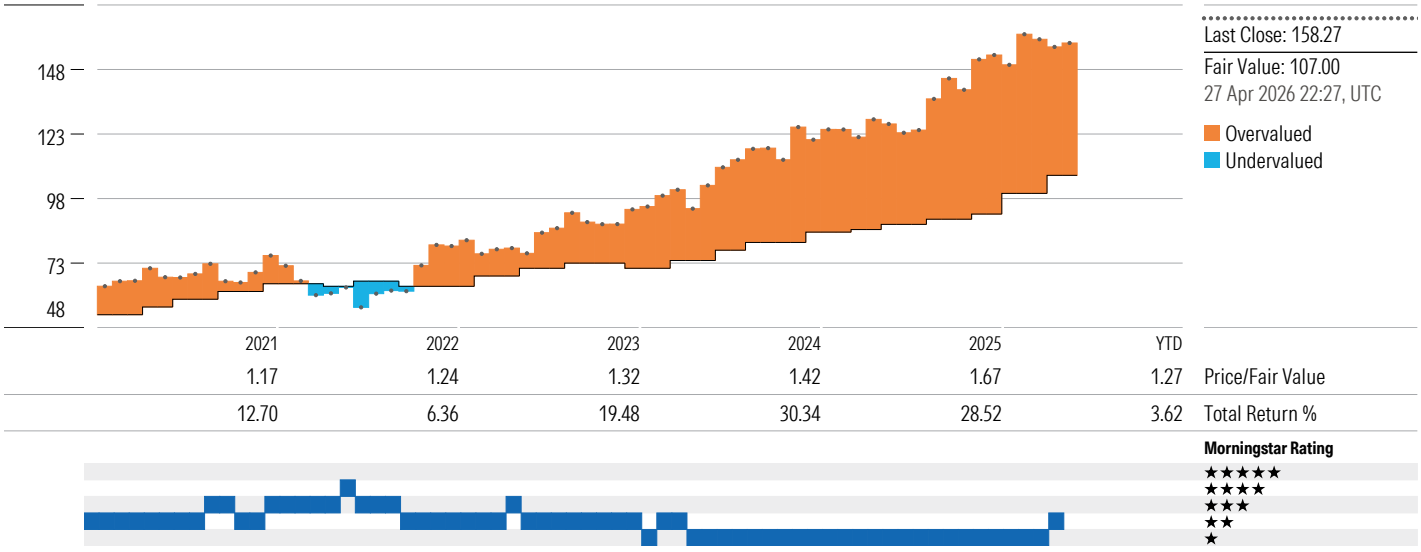
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Competitors Price vs. Fair Value

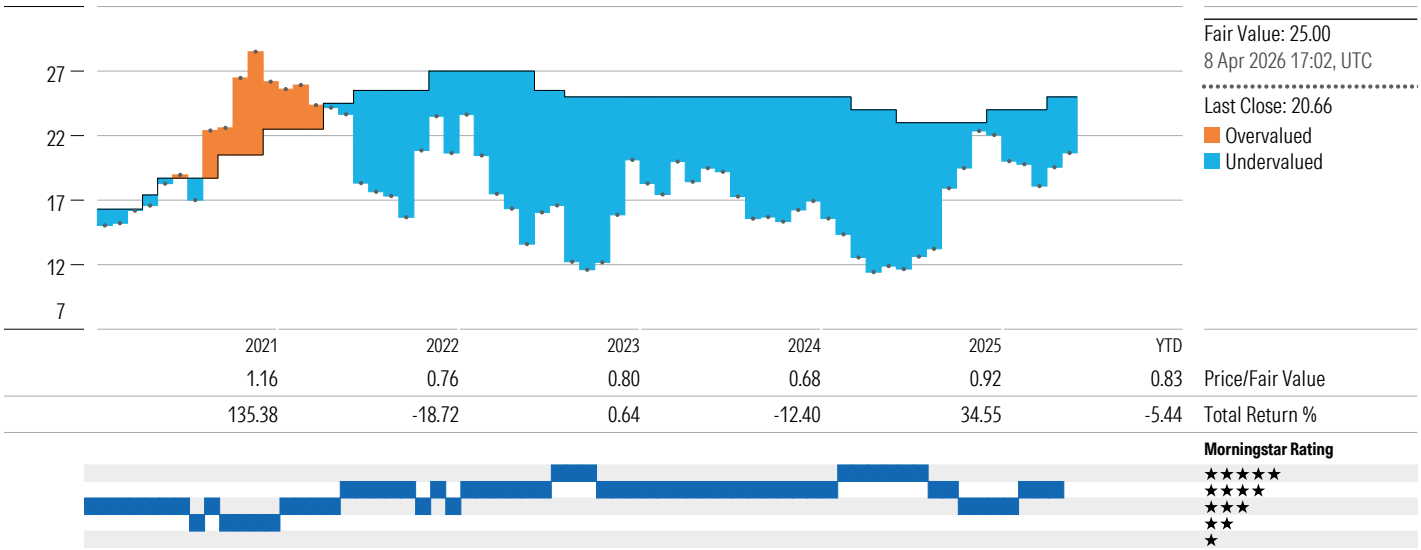
TJX Companies Inc TJX



	2021	2022	2023	2024	2025	YTD	
	1.17	1.24	1.32	1.42	1.67	1.27	Price/Fair Value
	12.70	6.36	19.48	30.34	28.52	3.62	Total Return %

Total Return % as of 22 May 2026. Last Close as of 22 May 2026. Fair Value as of 27 Apr 2026 22:27, UTC.

Macy's Inc M



	2021	2022	2023	2024	2025	YTD	
	1.16	0.76	0.80	0.68	0.92	0.83	Price/Fair Value
	135.38	-18.72	0.64	-12.40	34.55	-5.44	Total Return %

Total Return % as of 22 May 2026. Last Close as of 22 May 2026. Fair Value as of 8 Apr 2026 17:02, UTC.

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Morningstar Valuation Model Summary

Financials as of 21 May 2026

Fiscal Year, ends 31 Jan	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031
Revenue (USD Mil)	20,377	21,129	22,751	25,010	26,861	28,805	30,640	32,472
Operating Income (USD Mil)	2,308	2,586	2,707	3,076	3,358	3,629	3,922	4,221
EBITDA (USD Mil)	2,727	3,032	3,217	3,626	3,949	4,234	4,565	4,903
Adjusted EBITDA (USD Mil)	2,727	3,032	3,217	3,626	3,949	4,234	4,565	4,903
Net Income (USD Mil)	1,875	2,091	2,145	2,442	2,662	2,884	3,120	3,354
Adjusted Net Income (USD Mil)	1,875	2,091	2,145	2,442	2,662	2,884	3,120	3,354
Free Cash Flow To The Firm (USD Mil)	1,482	1,527	2,062	1,492	2,006	2,263	2,583	2,869
Weighted Average Diluted Shares Outstanding (Mil)	337	331	325	322	317	312	307	301
Earnings Per Share (Diluted) (USD)	5.56	6.32	6.61	7.59	8.41	9.24	10.17	11.15
Adjusted Earnings Per Share (Diluted) (USD)	5.56	6.32	6.61	7.59	8.41	9.24	10.17	11.15
Dividends Per Share (USD)	1.34	1.47	1.62	1.78	1.96	2.15	2.36	2.59

Margins & Returns as of 21 May 2026

	3 Year Avg	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031	5 Year Avg
Operating Margin %	11.8	11.3	12.2	11.9	12.3	12.5	12.6	12.8	13.0	12.6
EBITDA Margin %	—	13.4	14.4	14.1	14.5	14.7	14.7	14.9	15.1	—
Adjusted EBITDA Margin %	—	13.4	14.4	14.1	14.5	14.7	14.7	14.9	15.1	14.8
Net Margin %	9.5	9.2	9.9	9.4	9.8	9.9	10.0	10.2	10.3	10.0
Adjusted Net Margin %	9.5	9.2	9.9	9.4	9.8	9.9	10.0	10.2	10.3	10.0
Free Cash Flow To The Firm Margin %	7.9	7.3	7.2	9.1	6.0	7.5	7.9	8.4	8.8	7.7

Growth & Ratios as of 21 May 2026

	3 Year CAGR	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031	5 Year CAGR
Revenue Growth %	6.8	9.0	3.7	7.7	9.9	7.4	7.2	6.4	6.0	7.4
Operating Income Growth %	10.8	15.9	12.0	4.7	13.6	9.2	8.1	8.1	7.6	9.3
EBITDA Growth %	10.5	14.3	11.2	6.1	12.7	8.9	7.2	7.8	7.4	8.8
Adjusted EBITDA Growth %	10.5	14.3	11.2	6.1	12.7	8.9	7.2	7.8	7.4	8.8
Earnings Per Share Growth %	14.7	26.8	13.7	4.6	14.9	10.8	9.9	10.0	9.7	11.0
Adjusted Earnings Per Share Growth %	14.7	26.8	13.7	4.6	14.9	10.8	9.9	10.0	9.7	11.0

Valuation as of 21 May 2026

	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031
Price/Earning	25.2	23.8	28.5	30.9	27.9	25.4	23.1	21.1
Price/Sales	2.3	2.4	2.7	3.0	2.8	2.6	2.5	2.3
Price/Book	9.7	9.0	9.9	11.1	9.5	8.3	7.4	6.9
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	17.8	16.8	19.3	21.0	19.3	18.0	16.7	15.5
EV/EBIT	21.0	19.7	23.0	24.8	22.7	21.0	19.4	18.1
Dividend Yield %	1.0	1.0	0.9	0.8	0.8	0.9	1.0	1.1
Dividend Payout %	24.1	23.3	24.5	23.4	23.3	23.3	23.2	23.3
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 21 May 2026

Fiscal Year, ends 31 Jan	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031
ROA %	13.1	14.0	13.8	15.0	15.0	15.0	15.2	15.6
ROE %	38.5	38.0	34.7	36.0	34.0	32.6	32.1	32.5
ROIC %	31.8	32.8	32.2	33.6	32.8	32.6	32.9	33.5

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Jan	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Debt/Capital %	6.7	5.2	3.1	2.5	2.3	2.2	2.1	2.0
Assets/Equity	2.9	2.7	2.5	2.4	2.3	2.2	2.1	2.1
Net Debt/EBITDA	0.3	0.4	0.3	-0.8	-0.8	-0.9	-0.9	-0.9
Total Debt/EBITDA	0.9	0.7	0.5	0.4	0.4	0.4	0.3	0.3
EBITDA/ Net Interest Expense	-16.6	-17.7	-23.9	-22.9	-23.4	-22.3	-21.6	-22.2

Forecast Revisions as of 21 May 2026	2027		2028		2029	
Prior data as of 28 Apr 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	176.00	158.15	—	—	—	—
Revenue (USD Mil)	25,010	24,355	26,861	25,969	28,805	27,578
Operating Income (USD Mil)	3,076	2,996	3,358	3,246	3,629	3,475
EBITDA (USD Mil)	3,626	3,531	3,949	3,817	4,234	4,054
Net Income (USD Mil)	2,442	2,381	2,662	2,583	2,884	2,769
Earnings Per Share (Diluted) (USD)	7.59	7.39	8.41	8.14	9.24	8.86
Adjusted Earnings Per Share (Diluted) (USD)	7.59	7.39	8.41	8.14	9.24	8.86
Dividends Per Share (USD)	1.78	1.78	1.96	1.96	2.15	2.15

Key Valuation Drivers as of 21 May 2026

Cost of Equity %	8.1
Pre-Tax Cost of Debt %	5.1
Weighted Average Cost of Capital %	7.8
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	4.6
Stage II Investment Rate %	20.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 21 May 2026

	USD Mil
Present Value Stage I	17,505
Present Value Stage II	14,023
Present Value Stage III	20,361
Total Firm Value	**51,889**
Cash and Equivalents	4,594
Debt	1,502
Other Adjustments	0
Equity Value	**54,981**
Projected Diluted Shares	318
Fair Value per Share (USD)	**176.00**

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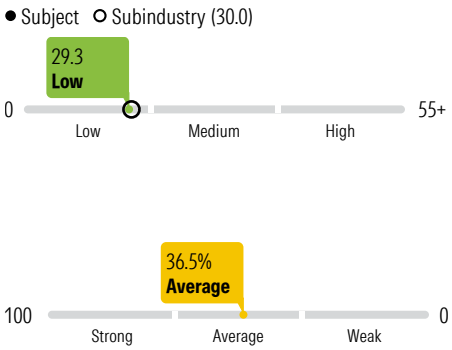
MORNINGSTAR®

Ross Stores Inc ROST ★★ 22 May 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
234.81 USD 22 May 2026	176.00 USD 22 May 2026 07:22, UTC	1.33	75.64 USD Bil 22 May 2026	Wide	Mid Blend	Medium	Standard	22 May 2026 05:00, UTC

ESG Risk Rating Breakdown

Exposure	
Company Exposure[1]	29.3
– Manageable Risk	26.2
Unmanageable Risk[2]	**3.1**
Management	
Manageable Risk	26.2
– Managed Risk[3]	9.5
Management Gap[4]	**16.6**
Overall Unmanaged Risk	**19.8**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 36.5% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 22, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Retail Apparel. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 22 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Ross Stores Inc	29.3 | Low	0	55+	36.5 | Average	100	0	19.8 | Low	0	40+
Macy's Inc	35.4 | Medium	0	55+	57.3 | Strong	100	0	16.8 | Low	0	40+
Dollar General Corp	34.4 | Low	0	55+	46.7 | Average	100	0	19.6 | Low	0	40+
Dollar Tree Inc	35.3 | Medium	0	55+	58.7 | Strong	100	0	16.3 | Low	0	40+
TJX Companies Inc	30.0 | Low	0	55+	49.8 | Average	100	0	16.7 | Low	0	40+

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Appendix

Historical Morningstar Rating

Ross Stores Inc ROST 22 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★	★	★	★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★★	★★★	★★★	★★	★★★	★★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★	★★	★★	★★	★★	★★	★★	★★

TJX Companies Inc TJX 22 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★	★	★	★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★	★	★	★	★	★	★	★	★	★	★	★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★	★	★	★	★	★	★	★	★★	★★	★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★★	★★★	★★	★★	★★	★★	★★	★★	★★	★★

Macy's Inc M 22 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

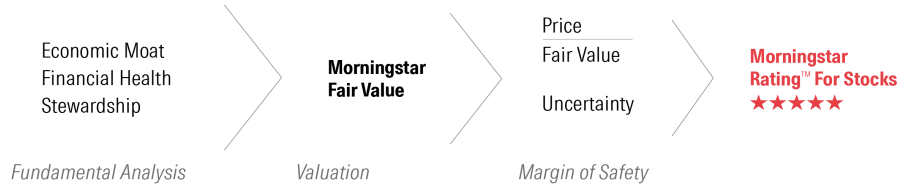
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

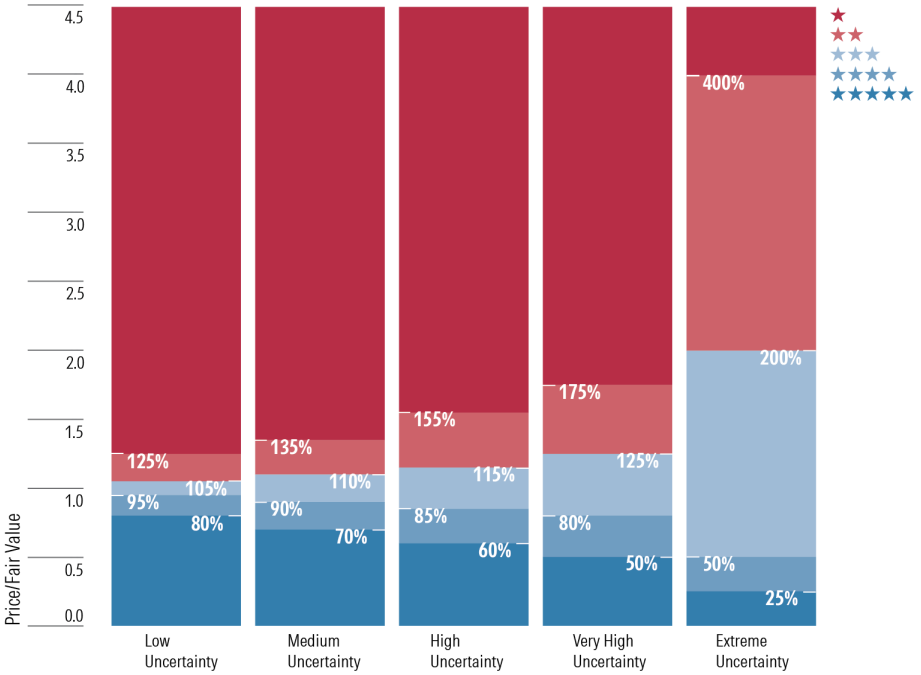
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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